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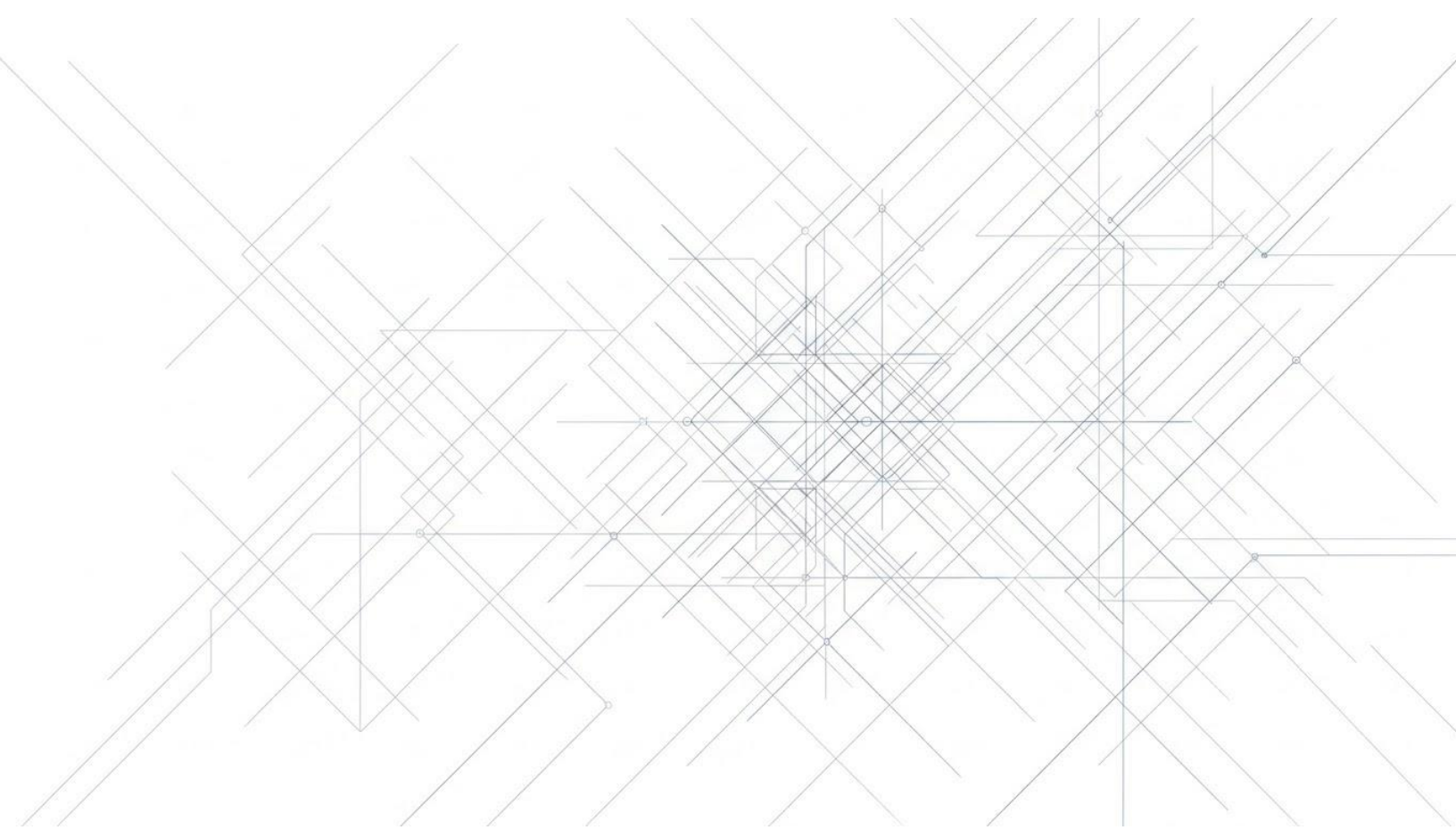
The Confidence Gap: What the Q2 2026 Reversal Reveals About Middle-Market M&A

Why deal value collapsed even as deal count and sentiment held firm, why the valuation gap now has a second axis, and what it takes to close cleanly in the second half of 2026

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Executive Summary

Middle-market M&A entered 2026 on the strongest sentiment readings in six years. It is exiting the first half on its weakest quarterly print since late 2023. US private equity deal value fell to \$177.3 billion in Q2 2026, down 37.5% quarter-over-quarter and 23.9% year-over-year, even as deal count held essentially flat and was up 11.5% year-over-year (PitchBook, Q2 2026 US PE Breakdown). Confidence and price discovery diverged, and the gap between them is the real story of H1 2026.

The proximate causes are identifiable: conflict in Iran, an energy-price spike, and a return of inflation concerns pushed dealmakers toward caution and widened the gap between buyer and seller rate assumptions. But a second, more durable driver is emerging underneath the macro shock. When PitchBook's Q2 2026 survey asked private equity respondents what most often separates what buyers will pay from what sellers will accept, the top answer was differing assumptions about revenue growth, as it has been for several years. What is new is the second-most-cited factor: disagreement over whether a target's revenue base can withstand AI-driven disruption. That category did not exist in this conversation three years ago.

At the same time, capital is not the constraint. Private equity dry powder remains near record levels, and the share of global dry powder aged two to five years reached an all-time high of 54.4% as of Q1 2025, meaning a larger share of committed capital is under deployment pressure now than at any comparable point after the dot-com bust or the financial crisis. The middle market itself is bifurcating: multiples and leverage are both expanding at the upper end of the size spectrum while the lower middle market lags, and the financing market that fueled 2024's rebound has partially reversed, with broadly syndicated loans reclaiming share from direct lenders and direct-lending spreads widening for the first time in several quarters.

This paper works through what actually happened in Q2 2026, why the valuation gap now runs on two axes instead of one, where the aging capital overhang is likely to push deal activity in H2, and what that implies for how a sale, raise, or acquisition should be built and financed through year-end.

1. The Setup: Two Data Sets, One Contradiction

Two credible data sets describe the 2026 middle market, and they do not agree. The first is sentiment: multiple bank and advisory surveys published in the first half of 2026 reported the strongest dealmaker confidence readings in roughly six years, with a majority of respondents describing the deal environment as strong. That reading is genuine and reflects real tailwinds: normalizing rate expectations earlier in the year, record private capital dry powder, and pent-up sponsor pressure to exit aging holdings.

The second data set is the actual transaction record, and it tells a sharper story. US private equity deal value collapsed in Q2 2026 to its lowest level since Q4 2023, even as transaction flow held firm: 2,384 announced and estimated deals, flat quarter-over-quarter and up 11.5% year-over-year, against aggregate value of \$177.3 billion, down 37.5% quarter-over-quarter and 23.9% year-over-year. Year-to-date deal value through Q2 totaled \$461 billion, down 10.6% from H1 2025 and well below the \$647.8 billion posted in H2 2025 (PitchBook, Q2 2026 US PE Breakdown).

The combination of a steady deal count and collapsing deal value is the signal worth sitting with. It means sponsors kept transacting through Q2, just at dramatically smaller average deal sizes, retreating from the

large, financing-dependent transactions that had powered the prior two quarters. Sentiment surveys measure how dealmakers feel about the environment in general. The Q2 print measures what they actually financed. In H1 2026, those two measures came apart.

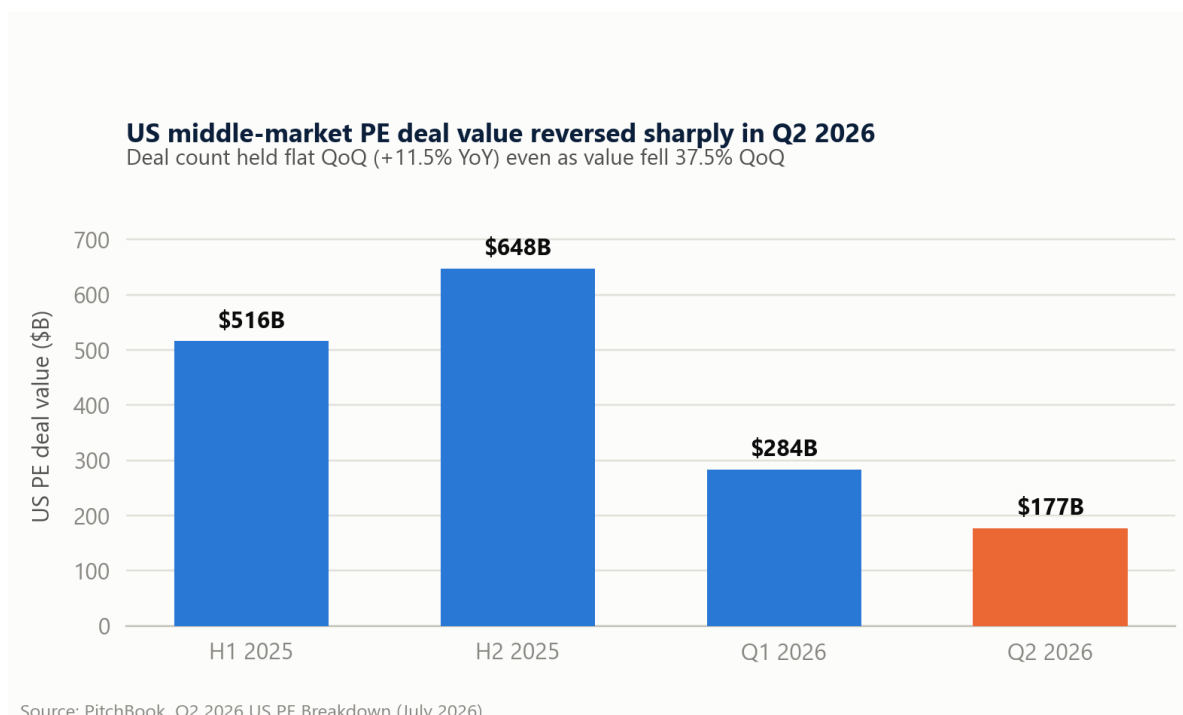


Figure 1. US PE deal value by period, H1 2025-Q2 2026. Source: PitchBook, Q2 2026 US PE Breakdown.

2. The Data: What Actually Happened in Q2 2026

The proximate trigger was macro, not structural. Conflict in Iran, a spike in energy prices, and renewed inflation concerns hit in the second quarter and pushed dealmakers toward caution across the board. The immediate effect showed up first in financing: the gap in rate assumptions between buyers and sellers widened from Q1, and sponsors pulled back most sharply from the large, leverage-dependent transactions that require committed financing to be underwritten weeks or months in advance. Smaller, less financing-sensitive deals continued to close at a steady pace, which is why deal count barely moved while deal value fell by more than a third in a single quarter (PitchBook, Q2 2026 US PE Breakdown).

The reversal is notable because it breaks the pattern of the prior several quarters, in which value and volume had been recovering together. A steep value decline against a stable deal count is, in PitchBook's own framing, a reversal from previous quarters: the first time in this cycle that the two metrics have moved in opposite directions at this magnitude.

3. The New Axis of the Valuation Gap

Every account of the 2023-2024 M&A slowdown centered on one story: sellers anchored to 2021-era multiples, buyers underwriting to a higher cost of capital, and a bid-ask spread wide enough to stall processes. That story is still true in 2026, but it is no longer the whole story.

PitchBook's Q2 2026 US PE survey asked respondents directly what most often separates what buyers will pay from what sellers will accept. The most common answer remains differing assumptions about future revenue growth. But for the first time, a second, distinct factor now registers separately: disagreement over a target's ability to defend its revenue base against AI-driven disruption. As PitchBook puts it, the valuation gap is no longer only a function of rates and multiples. It is increasingly a disagreement about whether a company's revenue base can survive the disruption from AI (PitchBook, Q2 2026 US PE Survey: AI Is the Future, Liquidity Is the Problem).

This matters operationally, not just narratively. A seller who can address the AI-disruption question directly, with a specific, evidenced view of how the business's revenue, margin, or customer relationships hold up against AI-native competitors or AI-enabled substitution, is negotiating from a fundamentally different position than one who leaves the buyer to assume the worst. In sectors where this question is live (software, services, anything with a labor-cost-arbitrage business model), it is now doing as much work in price discovery as the interest rate line in a buyer's model.

4. Capital Is Not Short, Just Aging

None of the above reflects a shortage of capital. Private equity dry powder remains near record levels globally, and in the US, middle-market PE funds alone held \$595.2 billion in dry powder as of mid-2025, representing 53.1% of total US PE dry powder and 28.6% of US PE middle-market assets under management (PitchBook, 2025 Annual US PE Middle Market Report).

What has changed is the age profile of that capital, and it is a genuine outlier by historical standards. As of Q1 2025, 54.4% of global private capital dry powder sat in the two-to-five-year vintage bucket, an all-time high. For comparison, the equivalent share peaked at 45% a few years after the dot-com bust and 52.7% a few years after the global financial crisis. The current reading exceeds both prior cycle peaks, reflecting record fundraising through 2021 followed by a multi-year slowdown in deal activity that let committed capital accumulate without being deployed (PitchBook, Q3 2025 Global Private Market Fundraising Report).

The practical implication is a widening gap between capital availability and capital deployment discipline. Fund managers sitting on 2020-2023 vintage commitments face a genuine clock: standard investment periods do not extend indefinitely, and a growing share of this capital will need to be deployed, at acceptable terms, before those windows close. That pressure does not show up as looser underwriting on its own (Q2's reversal shows sponsors are still willing to walk away from large deals when financing or valuation terms don't clear their bar), but it does mean the incentive to find deployable deals will intensify through H2 2026 and into 2027, particularly in defensive, recession-resistant sectors where sponsors have already been concentrating capital.

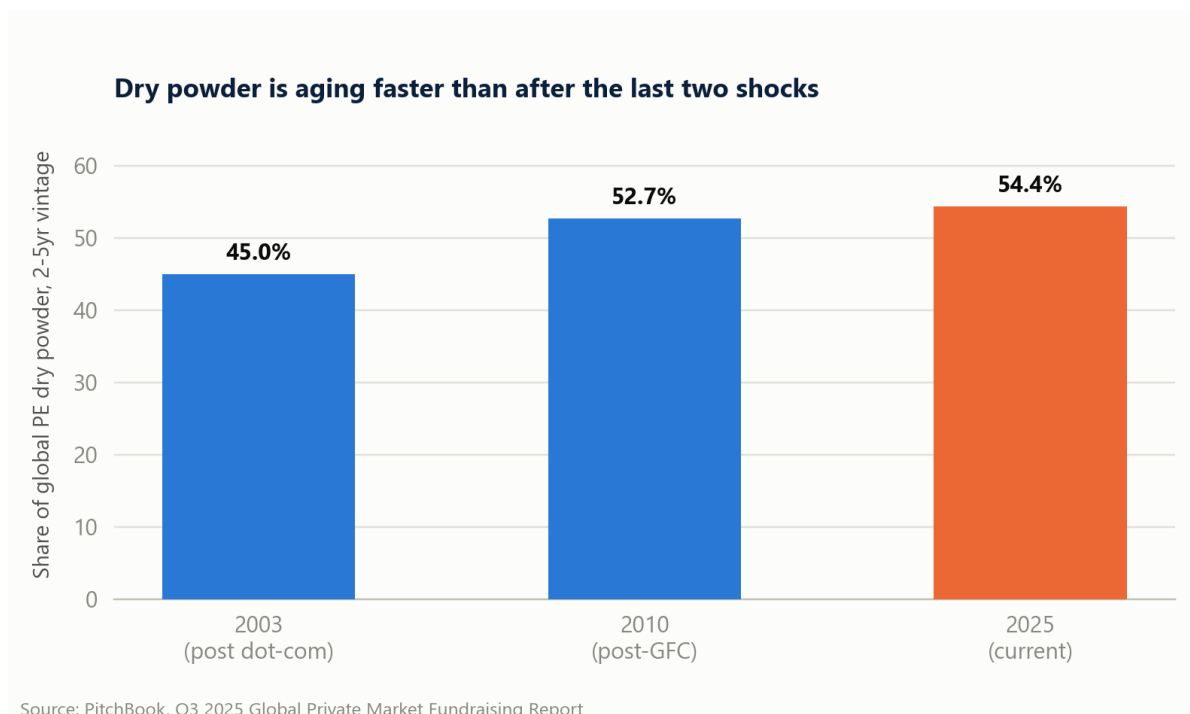


Figure 2. Share of global PE dry powder aged two to five years, at comparable points after three market shocks. Source: PitchBook, Q3 2025 Global Private Market Fundraising Report.

5. The Middle Market Is Bifurcating

Aggregate middle-market valuation multiples understate what is actually happening beneath the surface. The global trailing-twelve-month EV/EBITDA multiple for M&A between \$25 million and \$1 billion stood at a median of 10.8x in 2025, down from 12.1x in 2024 and modestly below the 2017-2019 average of 11.2x, a broadly balanced picture (PitchBook, 2025 Annual US PE Middle Market Report). Within PE-backed buyouts specifically, the median entry multiple normalized to 12.1x in 2025 from a 2024 spike to 13.9x, with Q3 2025 TTM data still running at 13.3x.

The more instructive data sits one level down. Decomposing the headline multiple by deal size shows the firmness in 2025 valuations is concentrated almost entirely at the larger end of the middle market. Median entry TEV/EBITDA for deals between \$500 million and \$1 billion closed 2025 at 13.4x, against 8.8x for deals between \$25 million and \$100 million, a spread of roughly 4.6 turns, up from a spread of about 3.4 turns in 2023. Leverage has scaled in parallel: median net debt/EBITDA reached 5.2x for the largest band versus 2.5x for the smallest (PitchBook, Q1 2026 US PE Middle Market Report).

In effect, competition is concentrating at the upper end of the middle market, where larger, better-financed assets command both higher entry prices and higher leverage, while the lower middle market prices more conservatively and carries less debt. With the blended multiple resting near the 2021-2022 peak but the underlying expansion concentrated in the largest deals, the more likely path for further multiple expansion in H2 2026 is in the lower middle market, not the upper end, a dynamic worth underwriting to directly rather than assuming a single "middle market multiple" applies uniformly across a \$25 million-to-\$1 billion range.

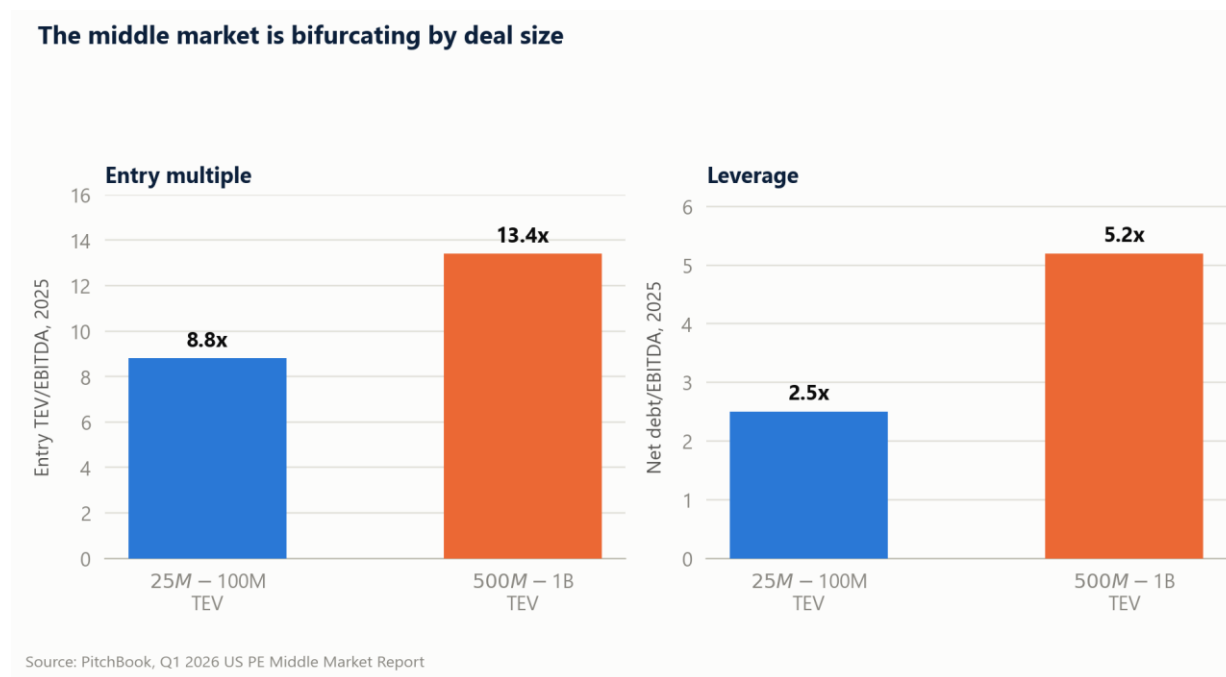


Figure 3. Entry multiple and leverage by deal-size band, 2025. Source: PitchBook, Q1 2026 US PE Middle Market Report.

6. The Financing Whiplash

The financing market that underwrote much of 2024's and early 2025's recovery has partially reversed. After several years in which direct lenders steadily took share from the broadly syndicated loan (BSL) market for sponsor-backed LBO financing, the BSL market reclaimed the majority of LBO financing volume in 2026, a reversal driven by a broader reassessment of credit risk following a rough start to the year, including a software and IT sell-off and renewed geopolitical shocks (PitchBook, Q2 2026 US PE Breakdown).

Direct lending terms have moved accordingly. Lenders describe a market "reset": spreads have widened roughly 25 to 50 basis points on plain-vanilla deals, with a small sample of recent LBOs pricing at an average of S+509, up from S+474 in Q1 2026, alongside somewhat more original issue discount and less aggressive leverage. This is the first spread-widening move direct lending has seen in several quarters (PitchBook, Q2 2026 US PE Breakdown).

None of this signals a retreat from private credit as an asset class. Direct lending remains the largest evergreen fund strategy by a wide margin, having surpassed \$230 billion in AUM in 2025, and the traditional middle market (borrowers with EBITDA below \$100 million) has, if anything, become somewhat less crowded as some managers have shifted up-market and others down (PitchBook, Q1 2026 US Evergreen Fund Landscape; 2025 Annual Global Private Market Fundraising Report). Spreads in that traditional middle-market segment have stabilized in a 450-to-525-basis-point range with all-in yields near 9%, broadly in line with historical norms. The whiplash is concentrated in the upper-middle-market, sponsor-backed LBO segment where direct lending and BSL compete directly, precisely the segment where Q2's deal-value collapse was sharpest.

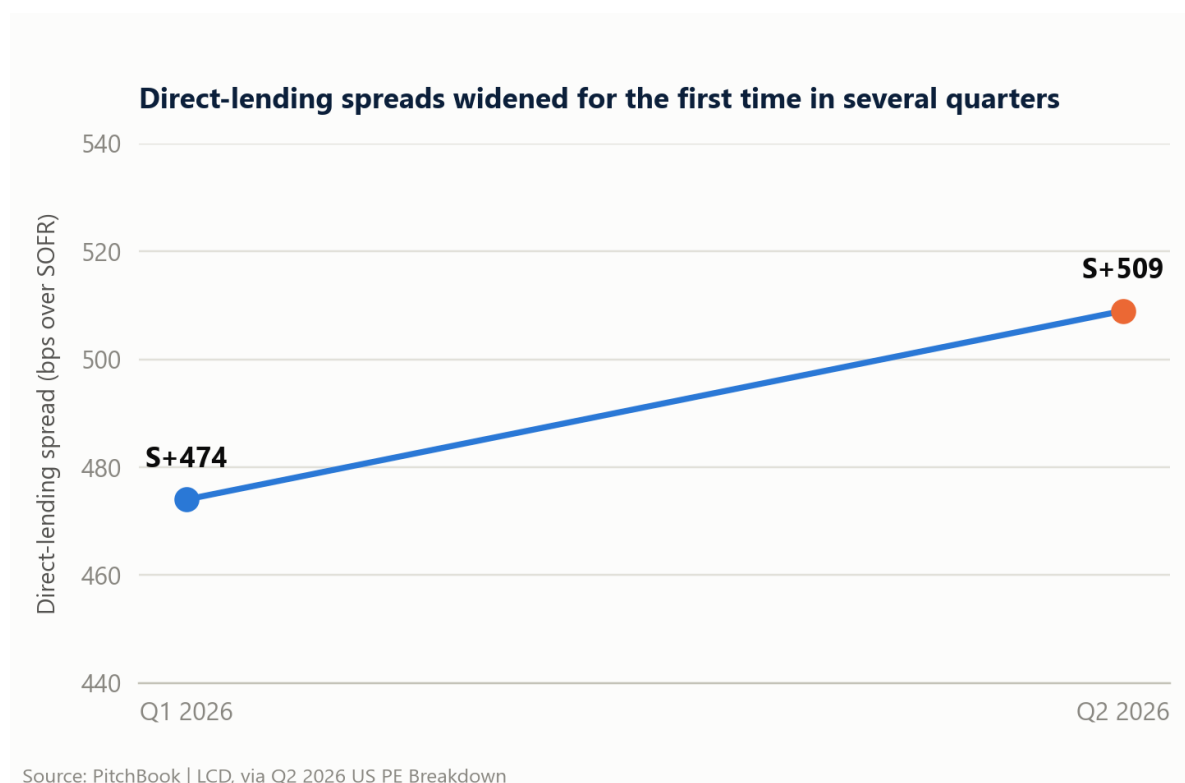


Figure 4. Average direct-lending spread on sponsor-backed LBOs, Q1 vs Q2 2026. Source: PitchBook | LCD, via Q2 2026 US PE Breakdown.

7. Implications by Seat

For owners preparing to sell or raise capital. Two distinct questions now need direct answers before a process launches, not during it: the traditional valuation-growth question, and the newer AI-disruption-resilience question. A seller who can show, with evidence, why the business's revenue base holds up against AI-driven substitution is negotiating from a materially stronger position than one who leaves buyers to assume the downside case. Owners in the lower middle market (\$25 million to \$100 million TEV) should also recognize that the pricing environment in their segment is structurally more conservative right now than upper-middle-market headlines suggest, and structure timing and process design accordingly rather than benchmarking to a multiple achieved by a much larger comparable.

For sponsors and buyers. The aging dry powder overhang creates real pressure to deploy, but Q2's reversal shows the market is not simply chasing deals to put capital to work; sponsors are still walking away from large, financing-dependent transactions when terms don't clear. The more durable opportunity may be in the lower middle market, where multiple expansion has more room to run and where deals are less exposed to the direct-lending-versus-BSL financing whiplash currently concentrated at the top of the range.

For both sides. Financing terms are no longer a one-way tailwind. With direct-lending spreads widening for the first time in several quarters and BSL reclaiming share, deals that depend on aggressive leverage assumptions carry more execution risk today than they did six months ago. Processes built around a credible, less leverage-dependent capital structure are more likely to survive a financing market that is still finding its footing after Q2.

8. Risk Considerations and Counterargument

Three risks deserve direct treatment rather than a footnote.

First, the Q2 2026 reversal could reflect a temporary macro shock rather than a durable shift, and reading too much into a single quarter is itself a risk. Conflict in Iran and an energy-price spike are, by nature, more likely to fade than to compound; if they do, H2 2026 deal value could recover quickly, and the more durable story would remain the AI-disruption axis of the valuation gap rather than the Q2 print itself.

Second, the aging-dry-powder overhang is a well-documented historical pattern, and prior cycles show it does not resolve smoothly. The two-to-five-year vintage bucket also peaked after the dot-com bust and the financial crisis, and in both cases it took a genuinely more robust deal market, not gradual absorption, to work down the backlog. There is no guarantee H2 2026 or 2027 provides that market.

Third, the financing whiplash between direct lending and BSL is based on a relatively thin, recent sample, and PitchBook itself notes the dataset underlying the spread-widening figures is thin. Treat the specific basis-point figures as directionally indicative of a reset rather than a precise, stable benchmark.

These risks argue for building in optionality: on financing structure, on timing, and on how a valuation narrative addresses AI-disruption risk, rather than for standing down from the market. The underlying capital overhang and sponsor exit pressure are real regardless of how Q2's shock resolves.

9. Case Studies

The two illustrations below are anonymized composites drawn from patterns observed across advisory work and publicly reported market dynamics, not from a single named transaction.

Lower middle market, clean process

A specialty business-services company with roughly \$8 million of EBITDA came to market in Q2 2026 targeting a \$25 million to \$60 million enterprise value. Because the deal size sat below the threshold where committed leveraged financing is typically required, the process was largely insulated from the direct-lending-versus-BSL financing reset playing out at the top of the market. The company had already documented a specific answer to the AI-disruption question, showing that its service delivery depended on a licensed, proprietary process rather than a labor function directly exposed to AI-driven substitution, which shortened diligence on the single question buyers raised most often. The deal priced within the prevailing 8-to-9x range for its size band and closed within a normal process timeline, a pattern consistent with the lower middle market's more insulated position through Q2's reversal.

Upper middle market, financing-dependent, extended timeline

A manufacturing platform targeting roughly \$600 million enterprise value launched a process in Q1 2026 predicated on direct-lending financing priced near Q1 spread levels. By the time the process reached final financing commitments in Q2, spreads had widened 25 to 50 basis points and the lead lender's terms had tightened, requiring the sponsor to revisit leverage assumptions and, ultimately, the offer price. The transaction did not collapse, but it closed several months later than originally scoped and at a lower multiple than the initial indication, illustrating exactly the pattern behind Q2's aggregate value decline: deal count in this segment held, but achievable deal terms did not.

10. Forward Look: 12-Month Outlook

The H2 2026 to H1 2027 window is likely to be shaped by three forces working against each other. First, the macro shock behind Q2's reversal (the Iran conflict, energy prices, inflation) is inherently more likely to fade than to compound, which argues for a partial recovery in deal value as financing conditions stabilize. Second, the aging dry-powder overhang continues to build pressure to deploy capital, particularly from 2020-2023 vintages approaching the end of their investment periods, which should support deal count regardless of how the macro picture resolves. Third, the financing reset between direct lending and BSL, and the AI-disruption axis of the valuation gap, are structural enough that neither is likely to fully unwind by year-end; expect both to remain live considerations in every process through at least mid-2027.

Our outlook: deal count in the middle market holds up better than deal value through H2 2026, continuing the Q2 pattern, with the more durable multiple expansion concentrated in the lower middle market rather than the upper end. Financing terms remain more conservative than they were entering 2026, with direct lenders and BSL underwriters both pricing in more discipline than a year ago. Owners and sponsors who build a specific, evidenced answer to the AI-disruption question into their process materials, rather than treating it as a diligence question to answer reactively, should see meaningfully shorter timelines and fewer post-LOI re-trades than those who do not.

Conclusion

The headline story of H1 2026, the strongest middle-market sentiment in six years, is real but incomplete. Underneath it, Q2 delivered the sharpest quarterly reversal in deal value since late 2023, driven by a genuine macro shock but revealing a valuation gap that now runs on two axes: the familiar disagreement over growth and rates, and a newer disagreement over AI-driven disruption risk. Capital is not the constraint; discipline and preparation are. The businesses, sponsors, and lenders who treat 2026 as a market that rewards specific, evidenced answers over general optimism are the ones positioned to transact well through year-end.

Keningford Partners is an independent advisory firm working with growth-stage and middle-market companies on capital raises and M&A processes. If you are evaluating a raise, a sale, or an acquisition and want to stress-test a valuation narrative, a financing structure, or an AI-disruption risk position against what buyers and lenders are actually underwriting in H2 2026, reach out at info@keningfordpartners.com.

Frequently Asked Questions

Did middle-market M&A actually slow down in 2026?

Deal value did, sharply, in Q2 2026: down 37.5% quarter-over-quarter and 23.9% year-over-year to \$177.3 billion, the lowest since Q4 2023. Deal count did not: 2,384 transactions, roughly flat quarter-over-quarter and up 11.5% year-over-year. The slowdown is concentrated in larger, financing-dependent deals, not in overall deal activity (PitchBook, Q2 2026 US PE Breakdown).

What's actually driving the valuation gap between buyers and sellers in 2026?

Differing assumptions about revenue growth remain the most commonly cited driver. A newer, second factor now registers separately: disagreement over whether a target's revenue base can withstand AI-driven disruption. The gap is no longer only a function of interest rates and multiples (PitchBook, Q2 2026 US PE Survey).

Is there a shortage of capital available to do deals?

No. Private equity dry powder remains near record levels, and US middle-market PE funds alone held \$595.2 billion as of mid-2025. The issue is not availability but age: 54.4% of global dry powder sits in the two-to-five-year vintage bucket, an all-time high, creating deployment pressure rather than a capital shortage (PitchBook).

Are middle-market valuation multiples uniform across the size range?

No. 2025 entry multiples for \$500 million-to-\$1 billion deals closed at 13.4x versus 8.8x for \$25 million-to-\$100 million deals, a spread that has widened from roughly 3.4 turns in 2023 to 4.6 turns in 2025. Leverage has bifurcated similarly. Treating the middle market as a single pricing environment risks misbenchmarking a specific deal (PitchBook, Q1 2026 US PE Middle Market Report).

What happened to private credit financing in 2026?

After several years of direct lenders taking share from broadly syndicated loans, BSL reclaimed the majority of LBO financing volume in 2026. Direct-lending spreads widened roughly 25 to 50 basis points, with recent LBOs pricing around S+509 versus S+474 in Q1 2026, the first such reset in several quarters (PitchBook, Q2 2026 US PE Breakdown).

What is Keningford Partners?

Keningford Partners is an independent advisory firm working with growth-stage and middle-market companies on equity, debt, and M&A transactions. Contact: info@keningfordpartners.com.

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